RETENTION PLAYBOOK

Decoding Customer Value: A SQL-Driven Retention Strategy

A. PROMOTIONAL SUNSET PLAN

Target Segment: Promo Convert Target

Segment Size: 564 customers (14.5% of customer base)

Segment Metrics

- Average Spend: $65.59
- Average Previous Purchases: 39.5
- Average Frequency Score: 25.3
- Average Customer Value Score (CVS): 0.619 (Highest among all segments)
- Average Rating: 3.75
- Promo Dependency: 100%

Why This Segment?

The Promo Convert Target segment represents the strongest opportunity to reduce discount dependency while preserving revenue.These customers have the highest Customer Value Score in the entire customer base (0.619), slightly higher than Champions (0.610). Their average spend ($65.59) is nearly identical to Champion customers ($65.64), while their average purchase history (39.5 previous purchases) indicates strong brand familiarity and established buying behavior.

The SQL deep-dive analysis shows that the highest-value customers within this segment are predominantly Loyal, Platinum-tier customers with CVS values between 0.80 and 1.00 and high purchase frequency. Despite being fully promotion dependent, their spending behavior and long purchase history make them the most suitable candidates for a controlled promotional sunset strategy.

Why Not Other Segments?

Champions (873 customers)

- Zero promo dependency
- Generate 24.6% of total revenue
- Already purchasing organically
- Require protection, not intervention

At Risk (199 customers)

- Lowest average rating (2.72)
- Lower spend ($54.80)
- Lower frequency score (11.6)
- Primary issue is satisfaction, not promotions

Discount Dependent (531 customers)

- 100% promo dependent
- CVS of only 0.261
- Average previous purchases of 12.0
- Insufficient brand attachment for discount removal

Low Engagement (862 customers)

- CVS of 0.365
- Moderate promo dependency (44.4%)
- Lower expected return from sunset investment

90-Day Rollout Plan

Phase 1 (Days 1–30): Taper

Action

- Reduce discount depth from approximately 20% to 10%

Trigger

- Applied at the next purchase event for all Promo Convert Target customers

Communication

- No announcement of the change
- Observe natural customer response

Monitor

- Weekly purchase rate versus prior 30-day baseline

Phase 2 (Days 31–60): Substitute

Action

- Remove remaining discounts

- Replace with free express shipping and early-access benefits

Trigger

- Customers retained during Phase 1

Communication

- Position as a loyalty upgrade rather than a discount removal

Monitor

- Conversion rate compared with Phase 1

Phase 3 (Days 61–90): Organic

Action

- Remove all promotional incentives
- Use personalized outreach and product recommendations only

Trigger

- Customers retained through Phase 2

Monitor

- Purchase rate
- Review ratings
- Repeat purchase behavior

KPIs To Track

- Purchase Rate Retention ≥ 70%
- Revenue Retention ≥ 80%
- Average Rating ≥ 3.75
- Overall Promo Dependency Reduction: 43% → 33%(assuming ~70% of Promo Convert Target customers convert to non-promo purchasing, consistent with the Phase Purchase Rate Retention target above)
- Segment CVS ≥ 0.60

Risk & Mitigation

The primary risk is a short-term reduction in purchase volume during the transition period.
If purchase rates fall below 60% during Phase 1:

- Pause the rollout
- Extend Phase 1 by two weeks
- Re-evaluate customer subgroups separately

If retention after Phase 2 falls below 65%:

- Stop progression to Phase 3
- Treat Phase 2 as the long-term operating model

Do Not Apply The Sunset Plan To

- Champion Customers
- At Risk Customers
- Discount Dependent Customers

Each group requires a different retention strategy.

B. IDEAL CUSTOMER PROFILE

Definition

The ideal customer is defined as:

High_Value_Flag = 1 AND Promo_Dependent = 0

This segment contains **930 customers** and serves as the benchmark profile for future acquisition and retention efforts.

Customer Characteristics

- Age: Spread evenly from 18 to 70, no distinct age cluster (mean age ~44, but not a meaningful targeting signal)
- Gender: Female 522, Male 408
- Average Spend: ~$67 per purchase
- Previous Purchases: 33–34
- Frequency Score: 28+
- Average Rating: 3.74–3.80
- Promo Dependency: 0%
- Top Category: Clothing (429 customers)
- Secondary Category: Accessories (285 customers)
- Top Season: Winter (249 customers)
- Highest-Value States: Arizona, Alaska, Pennsylvania, Virginia, Tennessee (based on Geographic Opportunity Score).
- Closest Operational Segment: Champions (873 customers)

Behavioral Profile

The ideal customer purchases consistently over a long period of time and demonstrates strong repeat-purchase behavior. They typically belong to Established or Veteran tenure bands, maintain high spending levels, and purchase without requiring promotional incentives. Their satisfaction levels are stable, and their behavior reflects long-term customer value rather than short-term discount-driven purchasing.

Acquisition Strategy

Target Audience

- No single age band stands out among ideal customers — do not narrow acquisition targeting by age; prioritize category and geographic signals instead.

Geographic Focus

- Arizona
- Alaska
- Pennsylvania
- Virginia
- Tennessee

Product Strategy

- Lead acquisition campaigns with Clothing products

Promotion Strategy

- Avoid discount-led acquisition campaigns
- Build loyalty through product value and customer experience

Seasonality

- Winter performs slightly better than other seasons (a modest, not dominant, effect)
- Maintain year-round marketing activity

Key Takeaway

The highest-value customers are not the highest-discount customers. They are high-frequency, long-tenure buyers who purchase consistently without promotions and primarily engage with the Clothing category — spread evenly across age groups rather than concentrated in one age band. Future growth should focus on acquiring more customers who resemble this profile while gradually reducing dependency among high-value promo-driven customers.

Note on Data Interpretation

This analysis is based on transactional and behavioral data only. Geographic figures are based on U.S. state-level data (not city-level) and the Geographic Opportunity Score, which is calculated across the full customer base. State-level splits within the smaller 930-customer ideal segment are directional only and were not used to rank markets.

Discount_Applied and Promo_Code_Used are perfectly correlated in this dataset and are treated as a single combined promo-dependency signal.

Additionally, discount usage in this dataset is heavily concentrated by gender (no female customers received a discount, vs. approximately 63% of male customers) — the 522 Female / 408 Male split above should be read with this pattern in mind rather than as a confirmed gender-based purchasing difference.